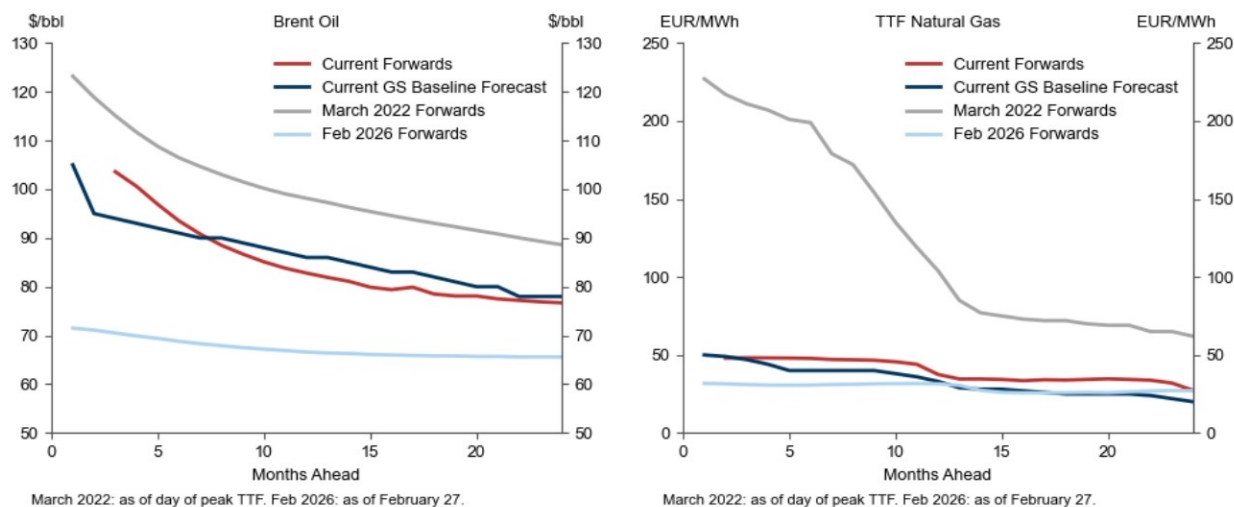


Europe: Tracking the European Economic Implications of the Middle East Conflict (22/05)

We track the economic implications for Europe of the conflict in Iran, leveraging daily data and our proprietary tools, including the GS Financial Conditions Index, daily indicators of consumer sentiment, and our higher-frequency growth model jointly considering energy prices, financial conditions, and foreign growth. We compare the reaction of key macroeconomic variables to their move in March 2022.

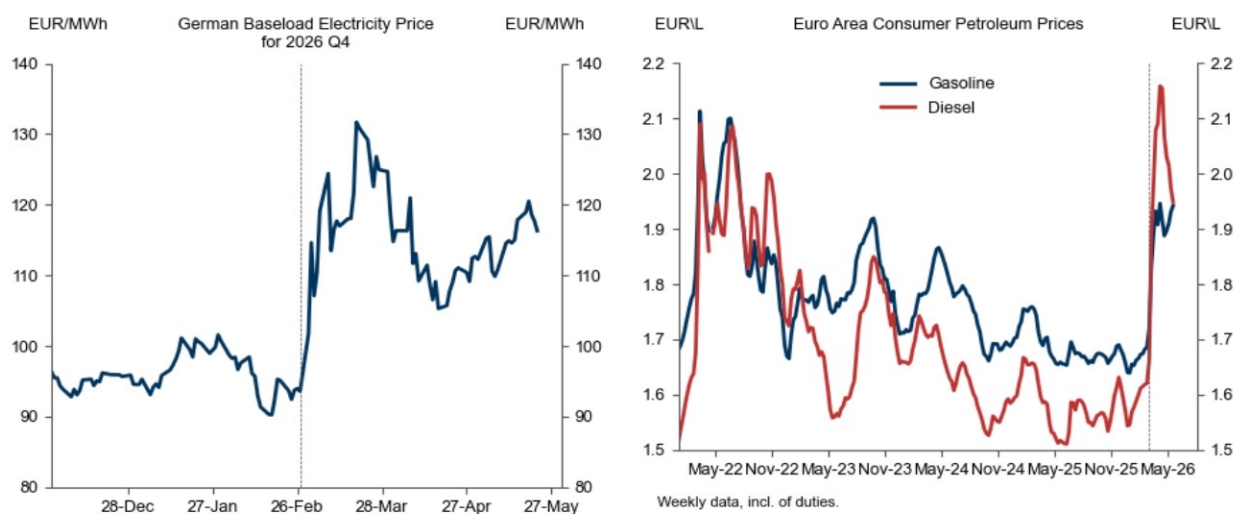
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Goldman Sachs International

Exhibit 1: Current Shock is Seen as More Contained for European Natural Gas Than in 2022; Oil Shock Expected to Be More Persistent

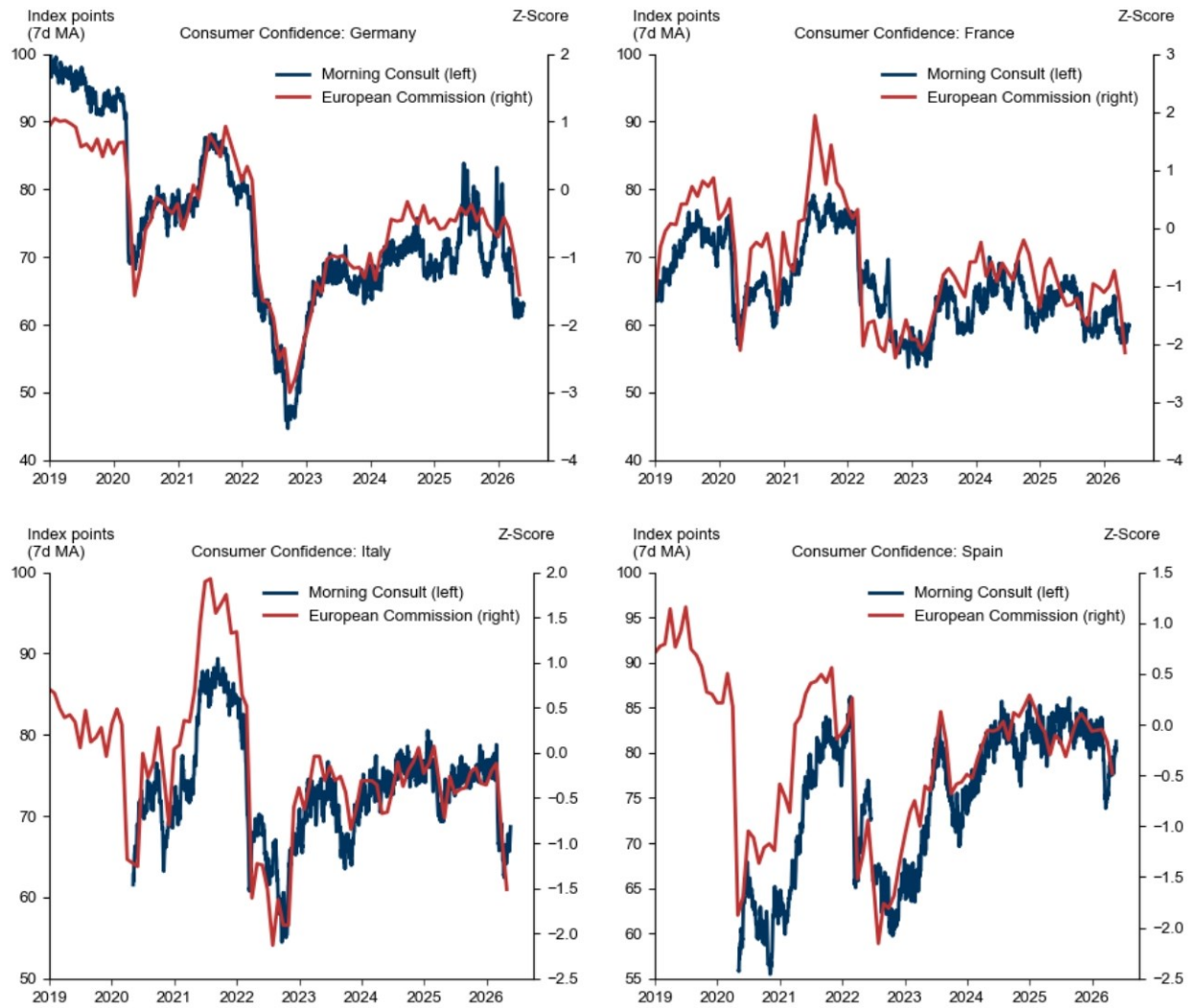


Source: Haver Analytics, Bloomberg, Goldman Sachs Global Investment Research

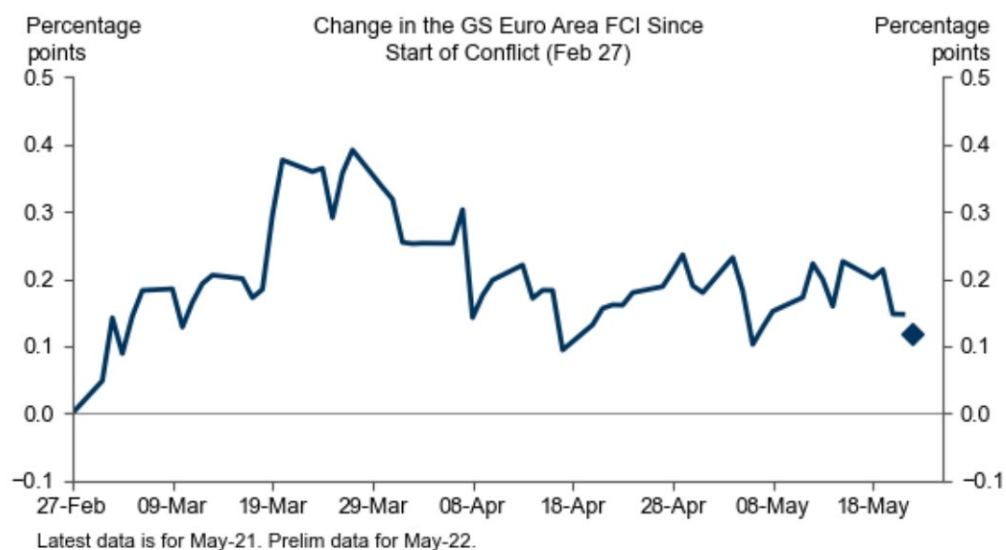
Exhibit 2: Spot Gasoline Prices and Electricity Forward Prices Have Risen Since the Onset of the Conflict But Are Below Their Recent Peaks



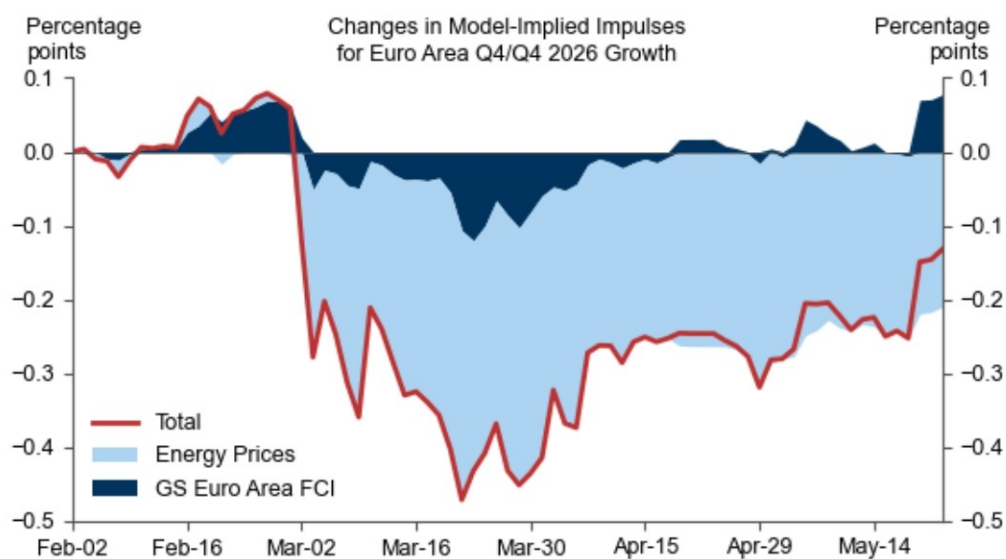
Source: Eurostat, Bloomberg, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 3: Consumer Confidence Stabilised in May

Source: Morning Consult, Haver Analytics, Goldman Sachs Global Investment Research, European Commission

Exhibit 4: Euro Area GSFCIs Have Tightened by Around 15bp Since the Start of the War

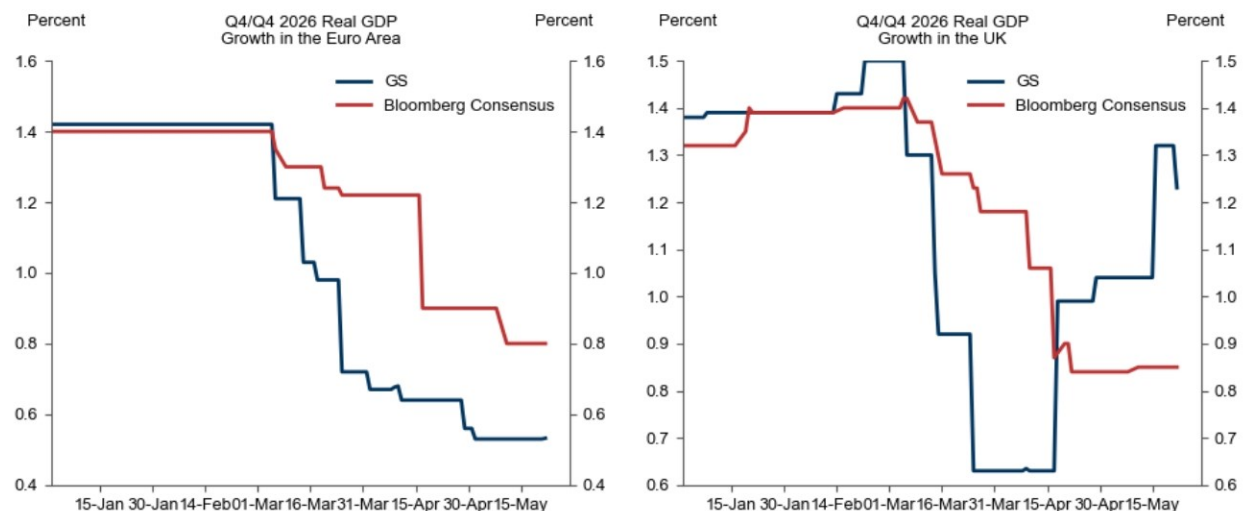
Source: Goldman Sachs Global Investment Research

Exhibit 5: Some Relief From the Recent Easing in the GS FCI

Model updated as of 6pm London time, May 22nd.

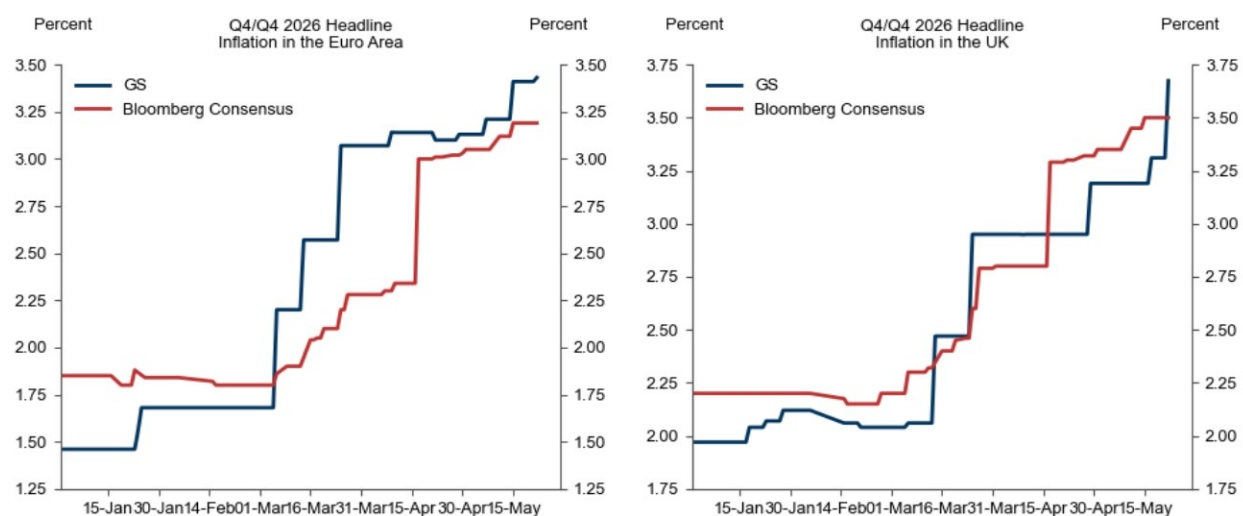
Source: Haver Analytics

Exhibit 6: We Have Downgraded GDP Growth in 2026 by Around 0.8pp in the Euro Area; Pre-War Data Surprised to the Upside in the UK



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 7: We Have Raised Our End-2026 Inflation Forecast By Around 2.0pp in the Euro Area and 1.7pp in the UK



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 8: Data Recap for April

Indicator	Date	Reference Period	Geography	Notes
Final Mfg PMI	01-Apr	March	Euro Area, EMU4	Broadly confirmed flash prints.
Employment	06-Apr	March	Spain	Firmer than previous months.
Final Svcs/Composite PMIs	07-Apr	March	Euro Area, EMU4	Broadly confirmed flash prints.
sentix Survey	07-Apr	April	Euro area, Germany	Further deterioration in expectations and current conditions.
Final CPI Details	16-Apr	March	Euro Area	Details stronger than the flash.
ZEW Survey	21-Apr	April	Euro area, Germany	0.2sd moderation in both components.
Flash Consumer Confidence	22-Apr	April	Euro area	0.9sd drop in consumer confidence
INSEE Business Survey	23-Apr	April	France	Rise in selling price plans in the manuf. and retail sectors.
Flash PMIs	23-Apr	April	Euro area, France, Germany, UK	Miss on activity, meaningful rise in output prices.
ifo Survey	24-Apr	April	Germany	Drop in current conditions and esp. in expectations (most notably in services).
INSEE Consumer Survey	24-Apr	April	France	Further rise in expected price developments.
ECB SAFE Survey	27-Apr	Q1	Euro Area	Higher non-labour costs and selling price expectations. Unchanged wage expectations.
GfK Survey	27-Apr	April	Germany	Lower sentiment, unchanged price expectations.
Retail Sales	28-Apr	March	Spain	Firm on fuel and non-fuel sales.
Lending Data	29-Apr	March	Euro Area	Resilient.
ISTAT Survey	29-Apr	April	Italy	Unchanged sentiment but higher price-related surveys.
EC Survey	29-Apr	April	Euro Area	Selling price expectations components rose by a further 1.5sd in manufacturing, by 1.3sd in retail trade, and by 0.6sd in services.
ECB's Consumer Expectations	29-Apr	March	Euro area	1.5pp rise in median 1-year-ahead inflation expectations to 4.0%.
Preliminary CPI Data	30-Apr	April	Euro Area, member states	Energy inflation increased to 10.9%yoy, close to our expectations.
Q1 GDP	30-Apr	Q1	Euro Area, member states	Domestic demand likely slowed.

Note: Shade indicates released data.

Source: Goldman Sachs Global Investment Research, Bloomberg

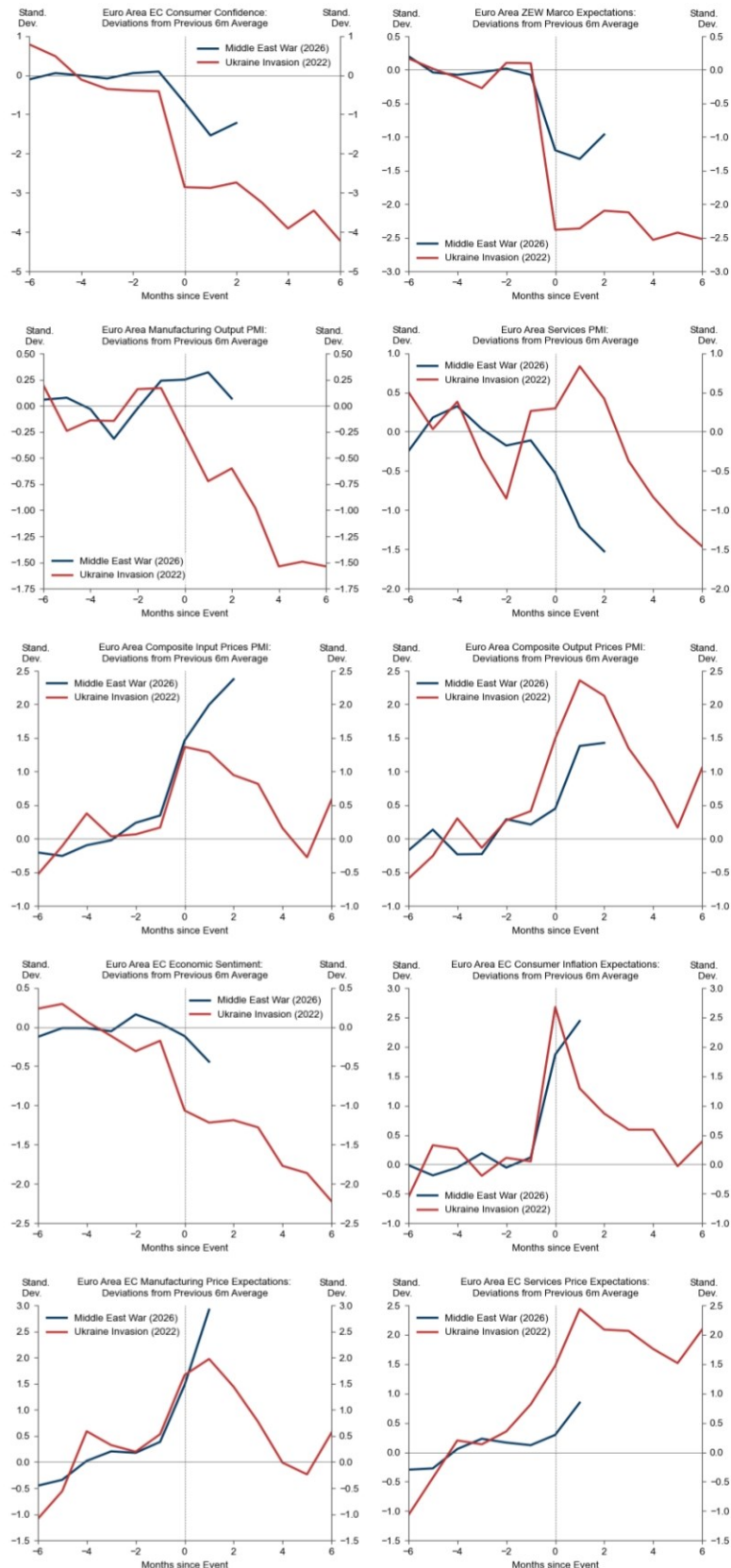
Exhibit 9: Data to Watch in May

Indicator	Date	Reference Period	Geography	Notes
ECB's CTS	05-May	Q1	Euro area	Uptick in 2026 wage growth expectations.
Employment	05-May	April	Spain	+0.2%mom, 3m AR at +3.1%.
sentix Survey	05-May	May	Euro area, Germany	Both components broadly unchanged at the area-wide level, some further softness in Germany.
Final PMIs	04-06 May	April	Euro area, EMU4	Broadly unrevised vs. flash prints.
Industrial Production	06-08 May	March	Germany, France, Spain	Firm in France and Spain, softer in Germany.
ECB's Wage Tracker	06-May	-	Euro area	Broadly unchanged.
Retail Sales	07-May	March	Euro area	Weak fuel sales volumes (-1.6%mom) and soft food spending, but firmer core-goods spending.
ZEW Survey	12-May	May	Euro area, Germany	Stabilisation at weak levels in the Euro area, slightly softer in Germany.
Industrial Production	12-May	March	Italy	Firm monthly growth in March.
Industrial Production	13-May	March	Euro area	+0.2%mom, with weaker Germany.
PPI	20-May	April	Germany	+1.1%mom rise, with firming pressures outside of energy and especially in chemicals.
Final CPI Details	20-May	April	Euro Area	+0.24%mom core inflation, vs. +0.12% in March.
Flash PMIs	21-May	May	Euro area, France, Germany, UK	Downside surprise on the composite, unchanged output prices.
Flash Consumer Confidence	21-May	May	Euro area	A slight 0.3sd rebound in May.
GfK Survey	22-May	May	Germany	A slight rebound in May, with some softening of expected price developments.
INSEE Business Survey	22-May	May	France	Small downtick in business climate, but growth signal less bad than the PMIs.
ifo Survey	22-May	May	Germany	Stabilisation of business sentiment, confirming the signal from the PMIs.
INSEE Consumer Survey	27-May	May	France	
Retail Sales	28-May	April	Spain	
EC Survey	28-May	May	Euro area	
ECB's Consumer Expectations	28-May	April	Euro area	
Preliminary CPI Data	29-May	May	France, Spain, Germany	
Monthly Goods Consumption	29-May	April	France	

Note: Shade indicates released data.

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 10: Investor and Consumer Sentiment and Business Surveys Have Softened on Net, Price-Related Surveys Have Risen



Source: Haver Analytics, European Commission, ZEW, Goldman Sachs Global Investment Research, European Commission, S&P Global Market Intelligence

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Disclosure Appendix

Reg AC

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